IN THE MATTER OF
PINNACLE COMMUNITY BANCORP, INC.

Charlotte, North Carolina | FDIC Certificate No. 58-4471
FDIC-2023-PCBK-01 | Docket No. FDIC-23-0219b

CONSENT ORDER

The Federal Deposit Insurance Corporation ("FDIC"), having determined that grounds exist to initiate cease-and-desist proceedings against Pinnacle Community Bancorp, Inc., Charlotte, North Carolina ("Bank"), an insured State nonmember bank, pursuant to Section 8(b) of the Federal Deposit Insurance Act ("FDI Act"), 12 U.S.C. § 1818(b);

The Bank, having executed a Stipulation and Consent to the Issuance of a Consent Order ("Consent Agreement"), dated October 12, 2023, that is accepted by the FDIC, with the Consent Agreement the Bank has consented, without admitting or denying any charges of unsafe or unsound banking practices or violations of law or regulation, to the issuance of this Consent Order ("Order") by the FDIC;

Having determined that the requirements for issuance of an order under 12 U.S.C. § 1818(b) have been satisfied, the FDIC HEREBY ORDERS that the Bank, its institution-affiliated parties, as that term is defined in 12 U.S.C. § 1813(u), and its successors and assigns, take affirmative action and cease and desist from the following unsafe or unsound banking practices and violations:

ARTICLE I — BSA/AML PROGRAM ENHANCEMENT
Within sixty (60) days of the effective date of this Order, the Board of Directors of the Bank ("Board") shall adopt, implement, and thereafter ensure the Bank adheres to a written, comprehensive Bank Secrecy Act/Anti-Money Laundering ("BSA/AML") compliance program that is satisfactory to the Regional Director. At a minimum, the revised program shall: (a) include a system of internal controls reasonably designed to assure ongoing BSA/AML compliance; (b) include independent testing for compliance; (c) designate a qualified individual responsible for day-to-day compliance; (d) provide adequate training to appropriate personnel; and (e) include an appropriate Customer Due Diligence (CDD) program meeting the requirements of 31 C.F.R. § 1020.210.

ARTICLE II — TRANSACTION MONITORING SYSTEM
Within ninety (90) days of the effective date of this Order, the Bank shall implement an automated transaction monitoring system, acceptable to the Regional Director, capable of identifying and reporting suspicious activity consistent with applicable FinCEN guidance and the Bank's BSA/AML risk profile. The system shall be validated by a qualified independent third party within one hundred eighty (180) days of implementation.

ARTICLE III — SUSPICIOUS ACTIVITY REPORTING
The Bank shall immediately review and correct its Suspicious Activity Report ("SAR") filing procedures to ensure timely and accurate reporting in accordance with 31 C.F.R. § 1020.320. The Board shall submit a written SAR remediation plan to the Regional Director within thirty (30) days of the effective date of this Order.

This ORDER shall be effective upon issuance and shall remain in full force and effect until modified, terminated, suspended, or set aside by the FDIC.

Issued under delegated authority.

Dated this 12th day of October, 2023.

Marcus T. Henderson
Regional Director, FDIC Atlanta Regional Office